

out: "The advent of popularity marks the exact moment when a system ceases to work well."

There are numerous other examples, but it's no use wasting more space on them. I was struck by the inevitable futility of reading further, since all investment advisers want to write best-sellers, yet popularity, by definition, dooms their advice. If I'd realized this earlier, I wouldn't have camped out in the stacks.

Who, then, was an average investor to believe? As I was beginning to despair of finding an answer, I saw a newsletter called *Street Smart Investing*, in which the publisher, a Mr. Kiril Socoloff, suggests a sure way to make money from best-selling investment books: take the advice and do the opposite! He tested his theory back through the entire twentieth century and came up with the following, which is all according to him:

In the early 1920s, Edgar Lawrence Smith wrote a book called *Common Stocks as Long-Term Investments*. This book was ignored during the entire period when it would have been a good idea to buy stocks. Suddenly it became a best-seller in 1929. That's the same year the experts advanced the popular Blue Chip Theory, which said that the stock-market advance would be limitless, and that there was no such thing as a downside.

During the entire period from 1932 to 1967, which was generally a terrific time to buy stocks, not a single investment book became a best-seller. There wasn't a stock-market best-seller until Adam Smith's *Money Game* was published in 1968, after which the stock market promptly topped out and collapsed. In 1974, Harry Browne's *You Can Profit from a Monetary Crisis* turned half the reading public into gold hoarders, and was followed by a severe decline in the price of gold. Gold didn't rise again until there were no gold books on the best-seller list and the public was bored with the subject. Then it hit \$800 a ounce.

In the early 1980s, several national bestsellers (most notably Howard Ruff's *How to Prosper During the Coming Bad Years*) predicted high inflation forever and offered the readership some intelligent countermeasures to protect their wealth. This, according to Mr. Socoloff, was a sure sign that inflation had abated, and the countermeasures (buying gold, silver, natural resources) would be highly unprofitable. Later in the decade, Jerome Smith's wildly